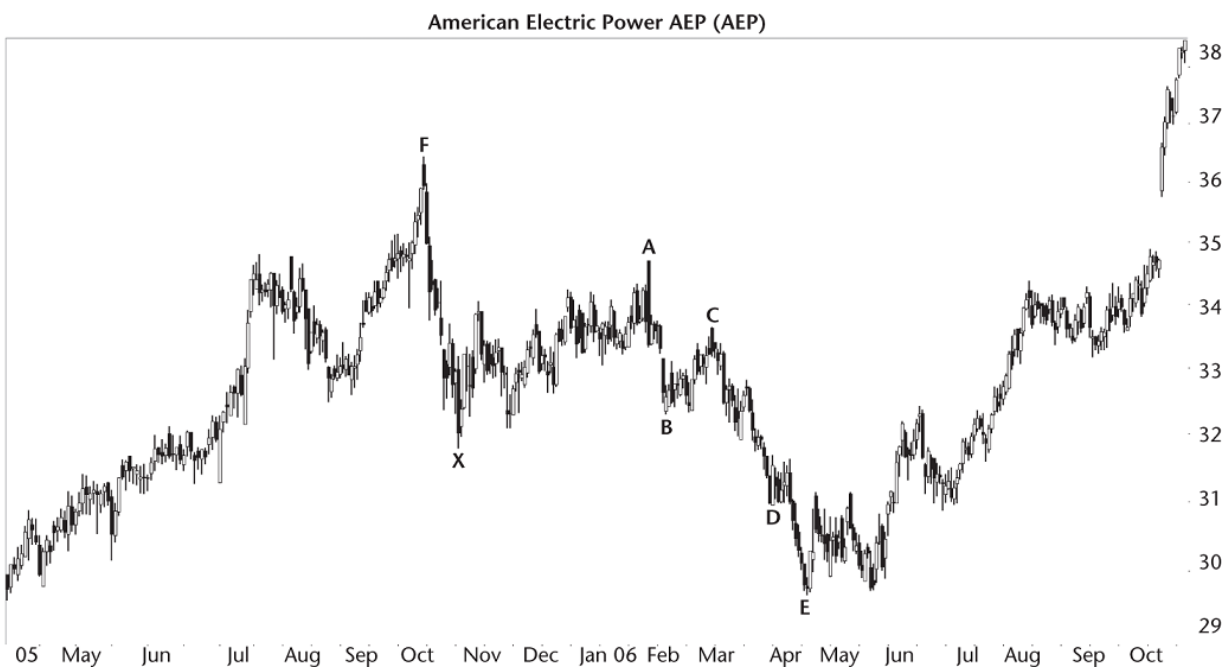


In this example, the stock climbed after turn D, as predicted, but only made it up to G before reversing. We'll discuss statistics later to see if we can better gauge how far price might climb after the pattern ends. Stay tuned.

Focus on Failures

[Figure 17.3](#) shows a bullish butterfly with its five turns, XABCD as shown. In a violent reversal at F, the stock formed a needle-sharp V-top chart pattern and plummeted to find footing at X, the start of the butterfly. Price, in a series of undulating waves, climbed to A before another selloff ensued. That selling carried price down to B. Another recovery and selloff dropped the stock to D.



[Figure 17.3](#) This bullish butterfly fails to see price turn higher after D.

Swing traders wishing to participate in the recovery may have bought during the week after D. They had plenty of time as the stock slid sideways and made a nice tight knot of support. Volume, not shown, moved sideways from X to D, with no outstanding peaks that would hurt the feet of anyone stepping on it.

The key to the failure of this pattern is what happened at D. I didn't check for news, but when the stock broke downward through support, that was the